

ETERNAL LIMITED (Formerly Zomato Limited)

EQUITY RESEARCH REPORT

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For educational purposes only

Valuation date: June 23rd, 2026

Forecast Period: FY 2026 - FY 2030

Currency: ₹ (INR)

Purpose: Learning/ equity research

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Executive Summary

- Eternal Limited (formerly Zomato Limited) has undergone a significant transformation over the last three years, evolving from a loss-making food delivery platform into a profitable consumer technology company with growing exposure to India's quick commerce market through Blinkit. Revenue increased from ₹7,079 Cr in FY23 to ₹20,243 Cr in FY25, while profitability improved materially over the same period.
- The central investment thesis of this report is that Blinkit's dark-store expansion, combined with increasing consumer adoption of convenience-led purchasing behaviour, can support long-term growth in both revenue and profitability. As Indian consumers become increasingly accustomed to on-demand delivery, Eternal remains well-positioned to benefit from structural growth in quick commerce.
- Based on a five-year FCFF valuation model and discounted cash flow analysis, I estimate an intrinsic value of ₹71.85 per share using an 11% WACC and a 4% terminal growth rate. While the underlying business remains attractive, the current market price of approximately ₹264 per share suggests that investors are pricing in significantly more optimistic assumptions than those used in this analysis.
- Reverse DCF analysis indicates that the current market valuation would require either a perpetual growth rate of approximately 9.59% or an implied WACC of approximately 5.72%, both of which are materially more aggressive than my base-case assumptions. This suggests that future shareholder returns will depend heavily on management's ability to sustain exceptional growth while simultaneously expanding profitability.

Metric	Value
Revenue FY25	₹20,243 Cr
Enterprise Value	₹48,093 Cr
Equity Value	₹59,944 Cr
Intrinsic Value	₹71.85/share
Market Price	₹264/share
WACC	11%
Terminal Growth	4%

Business Quality: High
Growth Outlook: Positive
Valuation: Demanding
Overall View: Neutral

Business Overview

- Eternal Limited (formerly Zomato Limited) is one of India's leading consumer technology platforms operating across food delivery, quick commerce, dining services and related digital commerce businesses. The company generates revenue primarily through its food delivery platform and Blinkit, its quick commerce subsidiary.
- While food delivery has matured into a profitable business with improving unit economics, Blinkit represents the company's largest long-term growth opportunity. The rapid expansion of quick commerce has transformed Eternal from a pure food-delivery company into a broader consumer convenience platform serving millions of users across India.

Investment Thesis

Thesis 1

Quick Commerce Expansion:

Blinkit's expanding dark-store network remains the primary driver of long-term growth. Increased store density improves delivery efficiency, expands service coverage and supports future order growth.

Thesis 2

Consumer Behaviour Shift:

Indian consumers are increasingly adopting convenience-led purchasing behaviour. Frequent small orders and demand for near-instant delivery continue to support the long-term growth potential of quick commerce.

Thesis 3

Operating Leverage Potential:

Although Eternal continues to invest heavily in growth, increasing scale may allow fixed costs to be spread across a larger revenue base. My model forecasts EBITDA margin expansion from 9.0% in FY26 to 13.1% in FY28.

Thesis 4

Valuation Expectations Remain High:

My DCF valuation implies ₹71.85 per share versus a market price of approximately ₹264. Reverse DCF analysis suggests investors are already pricing exceptionally optimistic growth and risk assumptions into the stock.

Revenue Growth FY23 → FY25

Year	Revenue
FY23	₹7079
FY24	₹12114
FY25	₹20243

Financial Analysis & Forecast Assumptions

Historical Margin Analysis:			
Metric	FY23	FY24	FY25
Revenue Growth %		0.71	0.67
Gross Margin %	0	0	0
EBITDA Margin %	(0.07)	0.07	0.08
EBIT Margin %	(0.14)	0.03	0.04
Net Margin %	(0.15)	0.03	0.03
Employee Cost % Revenue	0.21	0.14	0.13
Other Expenses % Revenue	0.77	0.62	0.57
D&A % Revenue	0.06	0.04	0.04
Effective Tax Rate	(0.04)	(0.21)	0.24

Working Capital Metrics:			
Metric	FY23	FY24	FY25
Receivable Days	24	24	35
Payable Days	172	112	99
Inventory Days	21	11	11

Assumption	FY26	FY27	FY28
Revenue Growth	30%	25%	20%
EBITDA Margin	4.5%	7.0%	9.5%
Tax Rate	25%	25%	25%
Receivable Days	35	34	33
Payable Days	95	92	90
Capex % Revenue	6%	6%	5%

Forecast assumptions were developed using historical operating trends, management commentary and a conservative view of long-term growth normalization. Revenue growth is expected to moderate from 30% in FY26 to 20% in FY28 as the business scales, while profitability improves through operating leverage and increasing efficiency across the platform.

Reverse DCF Analysis

Reverse DCF	Value
Market Price	264
Base Case DCF	71.85
Market Premium to Base DCF	267%
Implied Terminal Growth @ 11% WACC	9.59%
Implied WACC @ 4% Terminal Growth	5.72%

While the base-case DCF valuation implies an intrinsic value of approximately ₹71.85 per share, Eternal currently trades at approximately ₹264 per share. To understand this valuation gap, a Reverse DCF analysis was performed.

The analysis indicates that, at an 11% WACC, Eternal would need to sustain an implied perpetual growth rate of approximately 9.59% to justify the current market price. Alternatively, assuming a 4% terminal growth rate, the implied WACC falls to approximately 5.72%.

These assumptions are materially more optimistic than those used in the base-case valuation and suggest that the market is pricing in exceptional long-term growth, sustained profitability expansion and successful execution of Blinkit's quick-commerce strategy.

Key risks

Quick Commerce Profitability Risk:

The valuation assumes Blinkit's rapid growth eventually translates into sustainable profitability. Continued investments in delivery infrastructure and customer acquisition could delay margin expansion.

Dark Store Execution Risk:

A significant portion of future growth is supported by Blinkit's dark-store expansion strategy. Lower-than-expected order density or slower ramp-up of new stores could impact revenue growth assumptions.

Margin Expansion Risk:

The model forecasts EBITDA margins improving from 9.0% in FY26 to 13.1% in FY28. Higher logistics costs, discounting or competitive pricing pressure may limit profitability improvements.

Competitive Intensity Risk:

The quick-commerce market remains highly competitive, with Swiggy Instamart and Zepto continuing to invest aggressively. Increased competition may pressure market share and unit economics.

Market Expectation Risk:

Reverse DCF analysis suggests the current market valuation reflects substantially more optimistic growth assumptions than those used in this report. Any slowdown in growth or profitability could result in valuation compression.

Conclusion

Through this analysis, Eternal emerged as a business that has successfully transformed from a loss-making food delivery platform into a profitable consumer technology company with a growing presence in India's quick-commerce market through Blinkit.

My analysis suggests that the company's long-term growth opportunity remains attractive, supported by expanding dark-store infrastructure, increasing consumer adoption of convenience-led purchasing behaviour and the potential for further operating leverage as the business scales.

Using a discounted cash flow approach, I estimated an intrinsic value of approximately ₹71.85 per share. While the business fundamentals appear strong, the current market price of approximately ₹264 per share indicates that investors are expecting significantly higher growth and profitability than those assumed in my base-case valuation. This conclusion was further supported through Reverse DCF analysis, which highlighted the optimistic expectations currently embedded in the market valuation.

The key takeaway from this project is that valuation depends not only on the quality of a business, but also on the expectations already reflected in its share price. Eternal remains a company with compelling long-term prospects; however, future returns will depend on management's ability to execute successfully against the ambitious expectations currently implied by the market.